

Section 1: Policy Overview

This homeowners insurance policy (Policy Form HO-100) provides coverage for the dwelling, other structures, personal property, loss of use, and personal liability, subject to the terms, conditions, and exclusions described below. It is designed for owner-occupied, single-family residences and is not intended for rental properties without an appropriate endorsement.

The policy period is 12 months from the effective date shown on the declarations page, and coverage renews automatically unless cancelled by either party with proper written notice, typically no less than 30 days before the renewal date for non-payment or underwriting reasons.

This document is a general summary. The declarations page and any endorsements attached to your specific policy take precedence over general descriptions in this document, and policyholders should always refer to their individual policy documents for exact coverage limits, deductibles, and endorsements in effect.

Named perils covered under the base policy include fire, lightning, windstorm, hail, explosion, riot, aircraft or vehicle impact, smoke, vandalism, theft, falling objects, weight of ice or snow, and accidental discharge or overflow of water or steam from a plumbing, heating, or air conditioning system.

Optional endorsements can extend coverage beyond the base named perils to an open-perils basis for the dwelling and other structures, meaning all causes of loss are covered except those specifically excluded, which provides broader protection at a higher premium.

A separate liability umbrella policy may be purchased to extend personal liability coverage beyond the limits provided in this base policy, which is recommended for homeowners with significant assets or higher-than-average liability exposure such as a swimming pool or trampoline.

Section 2: Dwelling and Structure Coverage

Coverage A (Dwelling) insures the physical structure of your home against covered perils including fire, windstorm, hail, and other named perils listed in the declarations, up to the dwelling coverage limit, which should reflect the full replacement cost of rebuilding your home rather than its market value or purchase price.

Coverage B (Other Structures) extends similar protection to structures not attached to the dwelling, such as detached garages, sheds, and fences, typically at 10% of the dwelling coverage limit, though this percentage can be increased with an endorsement for homeowners with significant outbuildings.

Flood and earthquake damage are not covered under this standard policy and require separate policies or endorsements purchased individually; flood coverage is typically obtained through the National Flood Insurance Program or a private flood carrier, while earthquake coverage is available as a separate endorsement or standalone policy depending on region.

Replacement cost coverage, when selected, pays to rebuild or repair damage without a deduction for depreciation, whereas actual cash value coverage deducts depreciation based on the age and condition of the damaged structure, resulting in a lower payout for older homes.

An ordinance or law endorsement can be added to cover the increased cost of rebuilding to meet current building codes after a covered loss, which is especially relevant for older homes that would otherwise need costly code upgrades not covered under a standard dwelling policy.

Debris removal after a covered loss is generally included as an additional coverage, typically up to a percentage of the dwelling limit, covering the cost to clear damaged materials from the property before rebuilding can begin.

Section 3: Personal Property and Liability Coverage

Coverage C (Personal Property) covers your belongings such as furniture, electronics, and clothing against the same covered perils as the dwelling, both inside and, to a limited extent, outside the home, typically set at 50-70% of the dwelling coverage limit unless a different percentage is specified on your declarations page.

High-value items such as jewelry, fine art, and collectibles may be subject to sub-limits (often a few thousand dollars per category) and should be scheduled separately with an endorsement for full coverage value, which typically also removes the deductible for a covered loss to that specific scheduled item.

Coverage E (Personal Liability) protects you if someone is injured on your property or you are found responsible for property damage to others, up to the liability limit shown on your declarations page, and also covers legal defense costs even if a claim against you is later found to be without merit.

Coverage F (Medical Payments to Others) provides a smaller, no-fault benefit for minor injuries to guests on your property, regardless of who was at fault, and is intended to cover modest medical bills quickly without the need for a liability claim to be established.

Loss of Use coverage (Coverage D) reimburses additional living expenses, such as temporary housing and increased food costs, if your home becomes uninhabitable due to a covered loss while repairs are completed, typically up to a percentage of the dwelling coverage limit or a set time period, whichever is reached first.

Personal property coverage generally extends to a limited degree when items are away from the home, such as luggage lost while traveling, though this coverage is usually capped at a lower percentage of the total personal property limit than coverage for items inside the home.

Section 4: What Is Not Covered (Exclusions)

This policy does not cover damage caused by flooding, earth movement, war, nuclear hazard, or intentional acts by an insured person, as these are considered either catastrophic and uninsurable at a standard premium, or outside the scope of accidental loss that homeowners insurance is designed to address.

Gradual damage such as mold, wear and tear, insect or rodent damage, and lack of maintenance are generally excluded, as these are considered preventable through routine upkeep rather than sudden, accidental loss; a limited mold remediation benefit may apply only when mold results directly from a separately covered water loss.

Business activities conducted from the home may require a separate business owner's policy, as this policy's liability and property coverage is intended for personal, non-commercial use, and claims arising from business equipment, inventory, or client visits are typically denied under a standard homeowners policy.

Damage from backed-up sewers or drains is excluded unless a water backup endorsement has been added to the policy, which is a common and relatively inexpensive add-on that many homeowners choose given how frequently this type of loss occurs compared to some named perils.

Certain dog breeds and exotic pets may be excluded from liability coverage depending on state regulations and insurer underwriting guidelines; check your declarations page or contact your agent if you are uncertain whether a pet is covered under your liability section.

Vacant or unoccupied homes for more than 60 consecutive days may have reduced or voided coverage under the standard policy language, since the risk of undetected damage, vandalism, or theft is considered significantly higher for unoccupied properties; a vacancy endorsement is available for extended absences.

Section 5: Filing a Claim

To file a claim, contact the claims department as soon as possible after a loss, either through the policyholder portal, the mobile app, or by phone, and provide your policy number and a description of what happened, including the date, time, and circumstances of the loss as best as can be determined.

An adjuster will be assigned to inspect the damage and estimate the cost of repair or replacement. Keep receipts for any emergency repairs made to prevent further damage, as these may be reimbursable, and take photos of the damage before any cleanup or repair work begins whenever it is safe to do so.

Once a claim is filed, you will receive a claim number for tracking. Active claims should be handled with careful, step-by-step guidance, since documentation requirements and deadlines directly affect the outcome and payout of the claim, and missing a required document deadline can delay or reduce your settlement.

For water, fire, or storm damage claims, most policies require you to take reasonable steps to prevent further damage to the property, such as tarping a damaged roof or extracting standing water, and the reasonable cost of these protective measures is generally reimbursable as part of the claim.

A proof of loss form, itemizing damaged or destroyed property and its estimated value, is typically required within 60 days of the loss for the claim to proceed to settlement; your adjuster can provide guidance on completing this form accurately and on time.

If you disagree with the settlement amount offered, most policies include an appraisal clause allowing each party to select an independent appraiser, with a neutral umpire resolving any disagreement between the two appraisers' estimates before a final settlement amount is determined.

Large or complex claims, such as significant structural damage or a total loss, may take considerably longer to settle than a minor claim, and policyholders should expect ongoing communication and periodic requests for additional documentation throughout this longer claims process.

Section 6: Deductibles, Premiums, and Renewal

Your deductible is the amount you pay out of pocket before insurance coverage applies to a covered loss, and is shown on your declarations page; choosing a higher deductible typically lowers your premium, while a lower deductible raises it, since the insurer assumes more of the small-claim risk at a lower deductible.

Some policies use a percentage deductible for specific perils such as windstorm or hail in high-risk regions, calculated as a percentage of the dwelling coverage limit rather than a flat dollar amount, which can result in a significantly higher out-of-pocket cost than a standard flat deductible.

Premiums may be paid annually, semi-annually, or in monthly installments, and are subject to change at renewal based on claims history, coverage changes, or rate adjustments filed with the state insurance regulator, and a rate increase at renewal does not require a new claim to have occurred.

Discounts may be available for bundling with an auto policy, installing a monitored security or fire alarm system, updating older electrical, plumbing, or roofing systems, or maintaining a claims-free history over a period of several years.

Policyholders may cancel at any time; a pro-rated refund of unearned premium will be issued for the remaining policy period, minus any applicable fees, though cancelling mid-term to switch carriers should be coordinated carefully to avoid a coverage gap.

At renewal, review your dwelling coverage limit against current local construction costs, since rebuilding costs can rise faster than home values in some markets, and an outdated coverage limit can leave you underinsured relative to the true cost of rebuilding after a total loss.